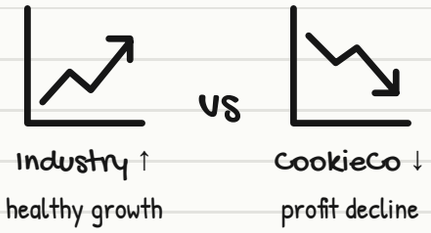
CookieCo Case: Problem Hai Kya?

Simple Bhasha Mein:

CookieCo = US ki ek badi company jo **packaged cookies banati bhi hai aur bechti bhi hai.**

Pichle **2-3 saal** se iska **profit gir raha hai**, jabki baaki cookie industry **achhe se grow** kar rahi hai.

CookieCo BCG ke paas aayi hai: (1) problem ki jad (root cause) dhoondo, (2) usse ulta (reverse) kaise karein, batao.



Industry ↑
healthy growth

CookieCo ↓
profit decline

Case Prompt (original):

"Our client is a national manufacturer and seller of packaged cookies in the U.S. In the last 2-3 years, they've seen a decline in profits whereas the rest of the industry has experienced healthy growth. They have come to us to identify the root cause of this issue and how they can reverse it."

Example:

Socho poore shehar mein mithai ki bikri badh rahi hai, par **ek dukaan** ka munafa gir raha hai. Matlab problem **bazaar mein nahi**, **dukaan ke andar** hai (shayad kharcha badh gaya).

1. Clarifying Questions (Ed ne kya poocha?)

Sawaal	Jawaab	Kyun poochna zaroori? (context bhi bolo!)
Scope sirf **US** hai?	Haan ✔	US ke bahar supply chain bahut complex ho jaati hai → scope chhota rakho
Sirf **cookies**, ya aur products bhi?	Aur products bhi bechte hain, par **focus sirf cookie segment**	Galat business pe time waste na ho
Structure ke liye 1-2 min le sakta hoon?	"Go for it" ✔	Socho, phir bolo, structured dikhoge

2. BCG Style Case = Candidate-Led

- **Tum** case ko lead karte ho; interviewer sirf guide karta hai.
- Numbers / exhibits mile to **khud** unhe apne structure mein fit karo.
- Conversational hota hai, beech mein naya data aata hai → **pivot** karna padta hai.



Interviewer: Jenny Rae Le Roux (ex-Bain)
Candidate: Edward

3. Interview Ka Flow (Ek Nazar Mein)

Recap → Clarify → Structure → Rev ya Cost? → Costs brainstorm → **Exhibit 1** → Storage breakdown → Inventory loss fix → **Final Rec** → Feedback

Source: "BCG Case Interview Example - CookieCo" (mock interview video)

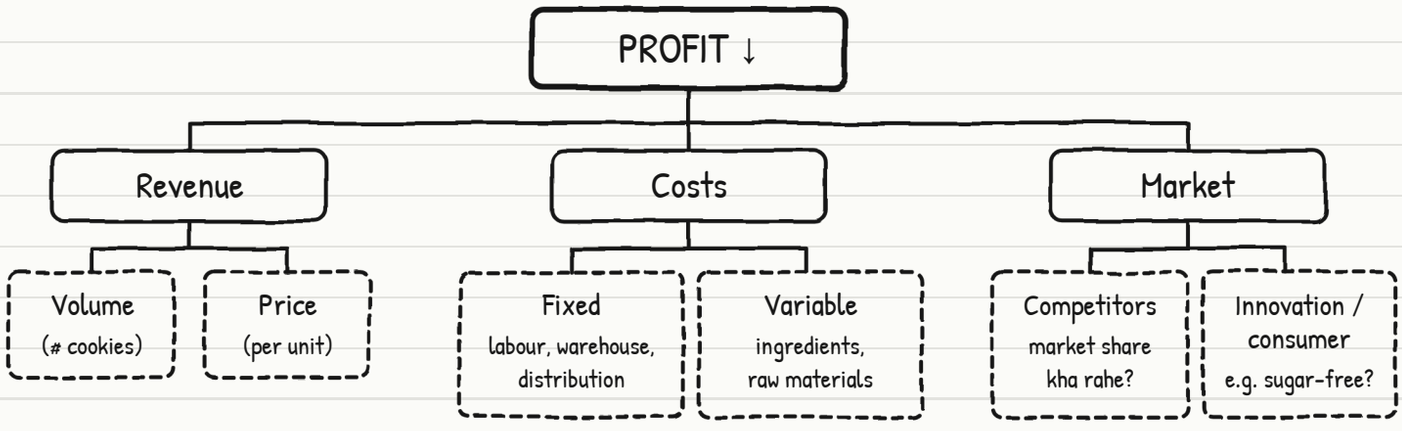
Framework: Problem Ko Todna

1. Basic Formula (Yaad Rakho)

Profit = **Revenue** (kamaai) − **Cost** (kharcha)

Revenue = **Units** (kitni cookies) × **Price** (per unit)

2. Ed Ka Structure (Profit Tree)



↑ Ed: "abhi surface level rakhta hoon", interviewer ko ye pasand nahi aaya (neeche dekho)

3. Hypothesis: Revenue Problem Ya Cost Problem?

Market **badh raha** ↑ → Competitors bhi **badh rahe** ↑ → Toh hum bhi shayad **theek bech rahe** → Par **margin** kam ho raha ↓ → **COST** problem!

Note:

Hypothesis = pehla smart andaaza, jise data se **check** karte hain. Galat nikle to pivot karo, koi baat nahi.

Feedback: Ye RECAP mein hi bol dena tha

"Baaki sab achha kar rahe hain → kya ye cost issue hai? Inflation + consumer goods ki strong demand dekh ke lagta hai **cost** hi hai." Ye context dene se interviewer ko pata chalta ki tum **profitability** pe focused ho.

4. Structure Ko 3/4 Se 4/4 Kaise Banayein?

① Costs PEHLE present karo

Generic profit tree mat padho. Bolo: "Mujhe lagta hai issue **cost** mein hai, wahin se shuru karta hoon." = hypothesis-driven.

② "High level" mat raho

Depth dikhao. Revenue → units, price, **product mix, discounting, inflation ka impact**. Costs → har bucket ke andar 2-3 items.

③ MECE rakho

Buckets overlap na karein. "Market" bucket mein revenue wali cheezein dobara mat daalo. (MECE = Mutually Exclusive, Collectively Exhaustive)

Cookie Ki Journey = Paisa Kahan Lagta Hai?

1. Life of a Cookie (Ed ka "chronological" approach)



Banana (Make)	Store karna (Warehouse)	Pack karna (Packaging)	Bhejna (Distribution)	Dukaan (Retailer)
Atta, cheeni, butter (raw materials), factory chalana, per-unit cost	Warehouse ka kiraya, AC / climate, workers	Dabbe, wrapper, labels	Trucks, drivers, freight, fuel	(Client ka cost nahi, par yahin cookie bikti hai)

2. Fixed vs Variable Cost

FIXED COST

- Production kam ho ya zyada, **utna hi lagta hai**.
- e.g. labour, warehouse ka kiraya, distribution setup.

Analogy: dukaan ka kiraya. Bikri ho ya na ho, dena padega.

VARIABLE COST

- Jitni cookies, **utna kharcha**.
- e.g. ingredients, raw materials.

Analogy: jitne parathe banaoge, utna atta lagega.

3. Macro Context (2020–2022): Bahar Kya Ho Raha Tha?

Pandemic + Recession → Labour kam → Supply ↓ → **Distribution MEHENGA**

(labour = drivers, freight operators; demand utni hi rahi)

- **Raw materials** bhi mehenge: labour ki availability kam + industry grow → ingredients ki demand zyada.
- Supply-demand ka simple rule: cheez kam, chahne wale zyada → **price premium**.

Lekin ek twist! 🤔

Distribution mehenga hua to **poori industry** pe asar padega, sirf CookieCo pe nahi. Toh ye akela reason nahi ho sakta ki **sirf hamara** profit gira. Isliye data aate hi **pivot**.

4. Data Se Pehle Ed Ka Guess

#1 cost area = **Distribution** (storing / distribution mein root cause hoga). Raw materials ka data bhi maanga.

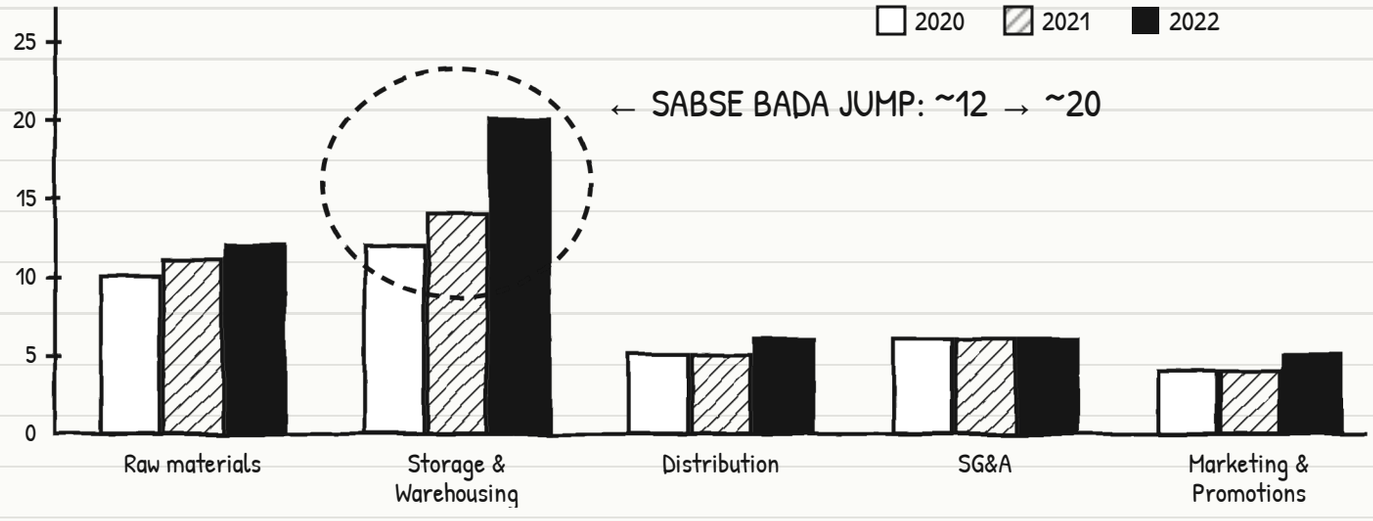
Interviewer ka point:

Costs kya-kya hain, ye **khud se** (bina pooche) list karna chahiye tha. BCG mein khud ko lead karna hota hai.

Yaad rakho: Cost brainstorm karna ho to "journey" approach (bana → store → pack → bhejo) best hai. Isse **kuch miss nahi hota** aur structure apne aap MECE ban jaata hai.

Exhibit 1: Data Kya Bol Raha Hai?

Cost Segments, Last 3 Years ($ Million)



Numbers Ko Table Mein Dekho

Segment	2020	2021	2022	Badhat (2 saal)	Matlab kya?
Storage & Warehousing	~12	~14	~20	**~+67% ⚠**	**Sabse bada jump → FOCUS yahan**
Raw materials	~10	~11	~12	~+20%	Steady, linear. Inflation mein expected, darne wali baat nahi
Distribution	~5	~5	~6	~+20%	1 saal flat, phir thoda ↑ (2022 macro anomaly?)
SG&A	~6	~6	~6	0%	Bilkul flat
Marketing & Promo	~4	~4	~5	~+25%	Thoda sa ↑, chhota amount
TOTAL	~37	~40	~49	**~+$12M**	Isme se **~$8M sirf Storage** se = badhat ka **~2/3**!

⚠ Ed Ki Galti: Units!

Ed ne bola "12% se 22%", par exhibit **$ million** mein tha, **% mein nahi**. Rule: pehle **units padho**, phir % khud nikaal ke batao:

% Change = (New − Old) ÷ Old × 100

(20 − 12) ÷ 12 × 100 ≈ **67%**

Smart Insight

Distribution ↑ aur raw materials ↑ ka matlab ho sakta hai ki hum **zyada maal bana aur bhej rahe hain** → yaani **revenue badh raha hai** → isse **cost hypothesis confirm** hoti hai.

*Values approx hain (video low-res tha, chart se padhe). Ed ne storage 2022 ko ~22 bola.

Storage & Warehousing: Andar Kya Hai?

1. Drill Down: Excel Sheet Banao To Kaunse Rows Honge?



1. Kiraya (Rent)

Bade warehouse ka rent. Sabse bada cost item.



2. Climate Control

Food hai → na zyada garmi, na nami (humidity).



3. Labour

Maal andar-bahar karne wale workers (Amazon warehouse jaisa).



4. Inventory Loss ⚠

Cookies **EXPIRE** ho jaati hain! Bik nahi paayi to phenkni padti hain.

Analogy:

Sofa saalon warehouse mein pada rahe, **kharab nahi hota**. Cookie ki **expiry date** hoti hai. Food business mein **"time = paisa"**.

Ed ka sawaal: ye cost kis bucket mein jaata hai?

Storage, materials ya distribution? Exact accounting bucket pata na ho to **bolke assume karo**. Interviewer ne poocha: "Books mein ye kaise dikhega?"

2. Expired Cookie = P&L Pe Seedha Nuksaan

Revenue		Cost		Profit
$0 (bika hi nahi)	−	**Banana + Store** (distribution shayad nahi laga)	=	**NEGATIVE** poora kharcha, zero kamaai

Example (samjhane ke liye numbers): ek dabba banane mein $1.00 aur store karne mein $0.20 laga → expire ho gaya → **$1.20 ka seedha loss**, aur bechne se jo margin milta wo bhi gaya.

3. Naya Data (Interviewer Ne Diya)



Inventory losses ne SPIKE kiya hai

pichle 2-3 saal mein. Matlab storage cost badhne ka bada reason = **expired / waste stock**.



Ed ne socha: **"20 second organize kar loon?"** Interviewer ne "sirf is baar" allow kiya. (Page 8: kab time maangna theek hai)

4. Puri Story Ab Tak (Chain)

Profit ↓, market ↑ → Cost problem → Exhibit: Storage & Wh sabse zyada ↑ → Breakdown: rent, climate, labour, loss → **Inventory loss SPIKE = root cause**

Solutions: Inventory Loss Kaise Kam Karein?

Sawaal tha: "Can you suggest a couple of ways to bring them under control?" → yaani **SOLUTIONS** chahiye the, sirf problems nahi!

Problem → Fix → Analogy

1. Storage Conditions Kharab

Fix: Climate control: temperature aur humidity sahi rakho.
Caveat: achhi **packaging** ko bhi cookies bachani chahiye.
Analogy: fridge ka temperature galat ho to doodh jaldi phat jaata hai.

2. Inventory Management Weak

Problem: dabbe peeche kone mein pade reh gaye, yaad hi nahi rahe.
Fix: proper tracking system + **FIFO** (First In, First Out). ~~LIFO~~ × (Ed ne pehle galti se LIFO bola, phir sudhaara.)
Analogy: ghar mein **purana doodh pehle** use karte ho, naya baad mein.

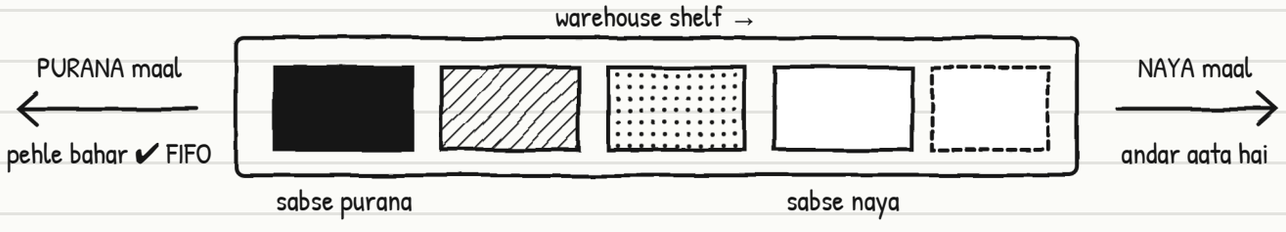
3. Over-Production / Kam Turnover

Fix: demand forecasting + analytics: kitna bikega, utna hi banao (recession mein log kam khareedte hain).
Analogy: shaadi mein guest list dekh ke khana banate ho, warna bacha khana waste.

4. Shelf Life Kam

Fix: recipe / packaging optimize karo taaki cookies **zyada din fresh** rahein.
Note: Ed ne ise last mein rakha. Pehle 2 pe zyada focus.

FIFO vs LIFO (Ek Diagram Mein)



Feedback (Creative: 3/4)

- Ed ne pehle **problems** bataye, **solutions** nahi → wapas jaana pada.
- Brainstorm **likha nahi**; pen ka cap band karke rakh diya!
- **Jo poocha gaya, wahi answer karo.**

Better Answer Ka Format:

"Do tarah ke solutions hain: **(1) Operations**: climate control, FIFO system. **(2) Planning**: demand forecasting, production ko demand se match karna. Pehle **FIFO + forecasting** karunga kyunki sasta aur jaldi lagta hai."

Final Recommendation: CEO Ko Kya Bolein?



Interviewer: "Tum elevator mein ho, CEO saamne hai. Kya bologe?" BCG mein **bina prep time** ke seedha bolna hota hai.

1. Recommendation Ka Format (5 Steps)

1	→	2	→	3	→	4	→	5
Context		**Finding**		**Recs**		**Risks**		**Next Steps**
1 line: problem kya thi		root cause + number		numbered actions		numbered		numbered

2. Ed Ne Kya Bola? (Score: 2.5 / 4)

- Storage & warehousing cost **bahut zyada** ho gaya → profit pe asar.
- Root cause: **climate + management systems**.
- Next step: management system banao taaki inventory time pe nikle.
- Risk: aur paisa lagaya aur issue jaldi na mila to profit aur girega.

Kya Missing Tha?

- Shuru mein **1 line context** nahi.
- **Story format** nahi tha.
- Risks / next steps **numbered nahi**: interviewer ko pata nahi chala 1, 2 ya 3 the.
- Brainstorm notes hote to points clear hote.

3. Better Version (Sample Script)

① **Context:** "CookieCo ka profit gir raha hai jabki market aur competitors grow kar rahe hain."
② **Finding:** "Problem **cost** mein hai. Storage & warehousing 2 saal mein **~$12M se ~$20M** (~+67%) ho gaya, aur iski wajah hai **inventory losses**: cookies expire ho rahi hain."
③ **Recommendations (teen):** (1) **FIFO** inventory-management system, (2) warehouses mein sahi **climate control**, (3) **demand forecasting** se production ko demand ke saath match karna.
④ **Risks (do):** (1) savings aane se pehle upfront kharcha, (2) forecasting galat hua to stock-out.
⑤ **Next steps (do):** (1) warehouses ka audit, (2) SKU / location ke hisaab se loss ka size nikaalna.

*Ye sample script interviewer ke feedback ke basis pe banayi hai; video mein exact aisa nahi bola gaya.

Tip:

Bolte waqt numbers bolo: "**Teen** recommendations hain. **Pehli**... **Doosri**..." Isse tum structured lagte ho.

Likhna hai ya nahi?

Final rec **verbal** hoti hai, likhne ki zaroorat nahi. Pen **brainstorming** ke waqt ready rakho, warna achhe ideas bhool jaoge.

Feedback + Key Takeaways

1. Interviewer Ka Scorecard (Out of 4)

Area	Score	Kya achha / kya sudhaarna
Case Recap	3.5	Clear, concise ✔ + "macro / cost issue?" wala context add karo
Clarifying Questions	3	Achhe sawaal ✔, par **kyun** pooch rahe ho wo bhi batao; rush mat karo
Structure	3	3 buckets ✔. Depth kam; costs pehle; MECE
Case Math / Exhibit	3	$ vs % ka confusion; logic linear rakho; khud lead karo
Creative / Brainstorm	3	Problems ≠ solutions; brainstorm likho
Final Recommendation	2.5	Story format + numbered risks / next steps

Overall: "Really good job": insightful tha aur insights ko layer kar raha tha. **Ed ka self-review:** 1–2 baar pivot karna pada (achhi practice); solutions aur zyada list kar sakta tha.

2. Key Takeaways (Interview Se Pehle Padho!)

1. Profitability + growing market → **hypothesis jaldi bolo** (shayad cost).
2. Har clarifying question ke saath **context** do.
3. Structure **hypothesis-led**, **deep**, MECE.
4. Exhibit: pehle **units** ($M ≠ %), phir % math bolke karo.
5. **Jo poocha wahi answer** karo (solution ≠ cause).
6. Brainstorm **likho**; pen ready rakho.
7. Final rec: **context** → **finding** → **numbered recs** → **risks** → **next steps**.
8. Naya data aaye to **pivot** karne se mat ghabrao.

3. Sochne Ka Time Maangna: Theek Hai Ya Nahi?

McKinsey	BCG	Bain
✔ Haan	× Usually nahi	~ Maybe
Time maangna normal hai	Conversational hota hai	Dono tarah practice karo

Golden rule: poochna hamesha theek hai, par "na" sunne ke liye ready raho. **Ek baar "na" bola to dobara mat poocho.**



Hypothesis pehle → Data se check → Structured ending

Source: "BCG Case Interview Example – CookieCo" (mock interview video)